AFMR

Transaction 3.2

Following is the information extracted from Trail Balance, Prepare P&L Statement and Balance sheet.

	Rs		
Shri Govind's Capital	2,28,800	Stock 1.4.2019	38,500
Shri Govind's Drawings	13,200	Wages	35,200
Plant and Machinery	99,000	Sundry Creditors	44,000
Freehold Property	66,000	Postage and Telegrams	1,540
Purchases	1,10,000	Insurance	1,760
Return Outwards	1,100	Gas and Fuel	2,970
Salaries	13,200	Bad debts	660
Office Expenses	2,750	Office Rent	2,860
Office Furniture	5,500	Freight	9,900
Discount A/c (Dr)	1320	Loose tools	2,200
Sundry Debtors	29,260	Factory Lightning	1,100
Loan to Shri Krishna @ 10% pa balance on 1.4.2019	44,000	Provision for Doubtful debts	880
Cash at Bank	29,260	Interest on Loan to Shri Krisna	1,100
Bills Payable	5,500	Cash in hand	2,640
		Sales	2,31,440

Adjustments

a) Stock Valued on 31st March was valued Rs 72,600
b) A new machine was installed during the year costing Rs 15,400 but it was not recorded as no cash payment was made for it. Wages Rs 1,100 paid for its erection has been debited to wages account.
c) Depreciate plant and machinery @ 20%, furniture 10%, freehold property by 6%
d) Loose tools were valued at Rs 1760 on 31st March
e) Of the Sundry debtors 660 are bad and should be written off
f) Maintain provision of 5% on Sundry Debtors for doubtful debt.

g) The manager is entitled to a commission of the net 10% of the net profits after charging such commission.